by the currency authority.[17] While agreeing with Sir Basil Blackett that the introduction of gold into circulation was necessary in Indian conditions to inspire confidence in the public, he refuted the claim that gold currency would jeopardize note circulation. Nor did he agree that the cost to India of such a scheme would be an indefinite and incalculable amount. Purshotamdas also stated that 'if at any stage an international agreement would be framed for the economical distribution of the world's gold supplies, I am confident that India would be prepared to exercise self-denial in her gold requirements in proportion to that of other countries whose currency reserves were parallel to her own.'[18]

The Indian capitalists saw the gold standard as a panacea for all their ills, and in evidence before the Hilton Young Commission about the effect of a higher rate on the economy replied that all these would become irrelevant once a gold standard was established, and the rupee stabilized in gold on the 1s 4d basis. Purshotamdas who favoured a gold standard argued that the ratio question required more urgent attention since the government manipulations to maintain the 1s 6d ratio were hitting at the very preconditions of a gold standard by dissipating the gold resources of the country. Purshotamdas had no doubt that India needed a gold standard and that only such a standard would bring in a stable ratio. He said as much in the Legislative Assembly in 1927 when he declared, 'Gold Standard and gold currency are after all India's birthright. We shall have it out of the Government of India, if not now, within five or ten years. That is not a gift we are looking forward to…Until we can have or until we take from them a Gold Standard and gold currency, the India Office and the Government of India would be slowly giving us promotions from 1s 4d, 1s 6d, to 1s 8d, then 1s10d and then 2s.'[19]

A Central Bank for India

Though the need for a central bank had not been one of its terms of reference, the Hilton Young Commission recommended the setting up of the RBI, to which all central banking functions were to be entrusted. It was the Commission's view that the benefit of the elaborate network which the Imperial Bank had set up should not be lost to the country and the Imperial Bank was to be left free to attend to the task of giving India a network of